2026

(NEP—2020)

(6th Semester)

ECONOMICS (MAJOR)

(International Trade)

Full Marks : 75

Time : 3 hours

The figures in the margin indicate full marks for the questions.

(SECTION : A—OBJECTIVE)

(*Marks* : 10)

Tick (✓) the correct answer in the brackets provided : 1×10=10

1. Which concept of TOT is also known as the 'commodity terms of trade'?

(a) Gross barter terms of trade ( )

(b) Net barter terms of trade ( )

(c) Income terms of trade ( )

(d) Double factorial terms of trade ( )

2. The terms of trade refers to the rate at which the

(a) price of a country's import is calculated ( )

(b) goods of one country is exchanged for the goods of another country ( )

(c) price of a country's export is calculated ( )

(d) balance of payments of a country is calculated ( )

3. The difference in the domestic cost ratios of producing two commodities in two countries is known as

(a) actual gains ( )

(b) partial gains ( )

(c) potential gains ( )

(d) price gains ( )

4. Absolute advantage theory of trade is based on

(a) two-by-two-by-two model ( )

(b) two-by-two-by-one model ( )

(c) four-by-four-by-four model ( )

(d) All of the above ( )

5. The effects of a tariff under partial equilibrium analysis, the revenue effect is the change in government receipts due to

(a) producer's surplus ( )

(b) consumer's satisfaction ( )

(c) imposition of tariff ( )

(d) loss of consumer's surplus ( )

6. Import and export of goods are known as

(a) nominal trade ( )

(b) invisible trade ( )

(c) visible trade ( )

(d) All of the above ( )

7. In the balance of payment accounts, all goods exported and imported are recorded in

(a) capital account ( )

(b) merchandise account ( )

(c) balance account ( )

(d) invisible account ( )

8. India has been a World Trade Organization (WTO) member since
   (a) 2005 ( )
   (b) 2000 ( )
   (c) 1995 ( )
   (d) 1990 ( )

9. The Indian rupee was made a freely convertible currency on current account since the year
   (a) 1981 ( )
   (b) 1991 ( )
   (c) 1993 ( )
   (d) 1994 ( )

10. The World Trade Organization was established on
   (a) 1st January, 1994 ( )
   (b) 1st January, 1995 ( )
   (c) 30th October, 1947 ( )
   (d) 19th December, 1966 ( )

(SECTION : B—SHORT ANSWERS)

(*Marks* : 15)

Write short notes on *five* of the following , taking at least *one* from each Unit : 3×5=15

UNIT—I

1. Single factorial terms of trade
2. Inter-regional trade and international trade

UNIT—II

3. Leontief paradox
4. Modern theory of gains

UNIT—III

5. Optimum tariff

6. Devaluation

UNIT—IV

7. Concept of International Monetary Fund

8. Asian Development Bank

(SECTION : C—DESCRIPTIVE)

(*Marks* : 50)

Answer *five* questions, taking at least *one* from each Unit : 10×5=50

UNIT—I

1. Discuss the comparative cost theory of international trade as propounded by David Ricardo. 10

2. Critically discuss Mill's theory of reciprocal demand. 10

UNIT—II

3. Explain the Heckscher-Ohlin theory of international trade with the help of factor abundance or scarcity in terms of factor prices. 10

4. What is gain from trade? Describe the various measurements of gains from trade. 2+8=10

UNIT—III

5. Define balance of payments. What are the various components of balance of payments? 2+8=10

6. What are import quotas? Discuss the various types of import quotas. 2+8=10

UNIT—IV

7. Describe the composition and direction of India's foreign trade. 10

8. State and explain the main agreements of WTO. 10

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